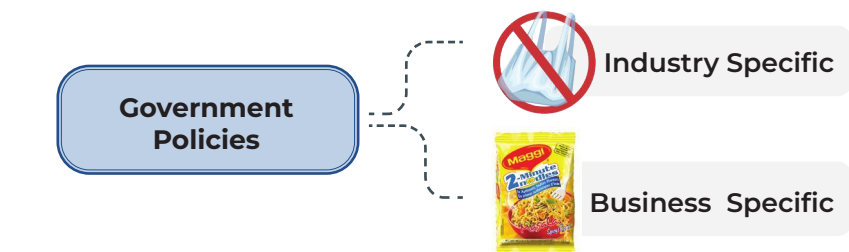


Government Regulations about the Industry

Governments establish many regulations and policies that guide businesses. These policies can be industry specific or business specific.



These policies not only apply at the national level but also apply more locally, as states and municipalities have their own set of rules. There are international treaties that influence the way business is done.

A stable political system can make business-friendly decisions. An unstable system harms the business environment.

Entrepreneurs, business managers, and investors need to know about policies and regulations affecting their concerned industries. Policies have the power to act as a market catalyst as well as value destroyers for other markets.

The government can help the development of any particular industry as well as limit growth for others.

Providing special incentives and devising initiatives.

They can provide tax and duty exemptions to different sectors that will trigger investment and growth in that sector.

Imposing more taxes and duties

Investors lose their interest in that particular sector.